

Fearnleys Dry Bulk Weekly

Jul 23, 2025



Capesize/Newcastlemax

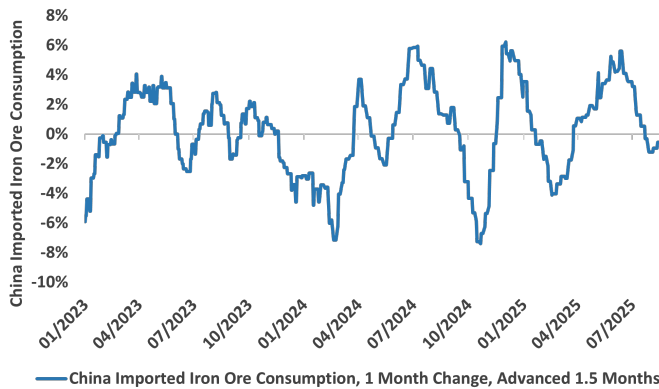
Two weeks ago, we wrote:

The market is finding its footing here in the low teens (old BCI index). It would be surprising to see it soften much further, given that the index is now below both that of Kamsarmaxes and Ultramax, and that Brazilian iron ore shipments are in high season.

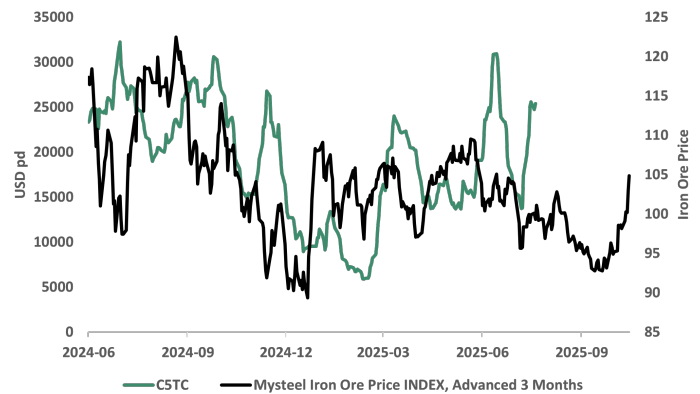
However, Guinea Bauxite shipments are in the low season, and Australian iron ore shipments are not likely to pick up markedly in the near-term. Therefore, a low/mid teens index average seems most likely in the coming weeks.

There was no consolidation period before the market jumped again. High season in Brazilian iron ore shipments, coupled with still higher imported iron ore consumption in China than last year, are the main factors keeping the market firm. Through week 29, Atlantic basin shipments are up 6.5% on last year, whereas total global shipments are down by 1.0%. The index is currently in the upper range of what has been seen over the last year and a half. Congestion in China has dropped from the peak a few weeks ago, but apart from that, we do not see anything pointing clearly in either direction in ballaster/laden vessel ratios or any other AIS indicator.

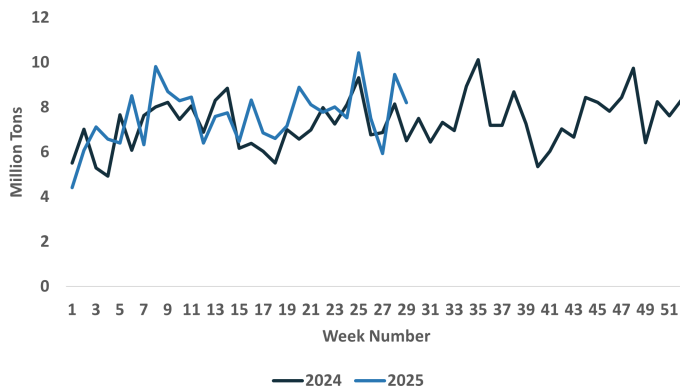
1 Month Change of China's Daily Imported Iron Ore Consumption, 1.5 Months Lead, vs C5TC 1 Month Change



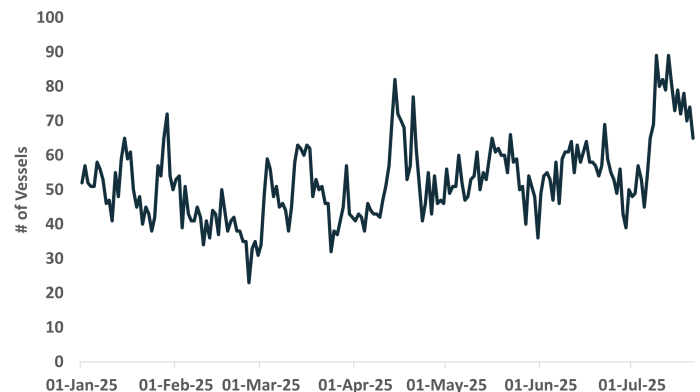
Iron Ore Price, 3 Months Lead, vs C5TC



Capesize/Newcastlemax Atlantic Basin Shipments, 2024 vs 2025



Capesize/Newcastlemax Waiting to Load in China





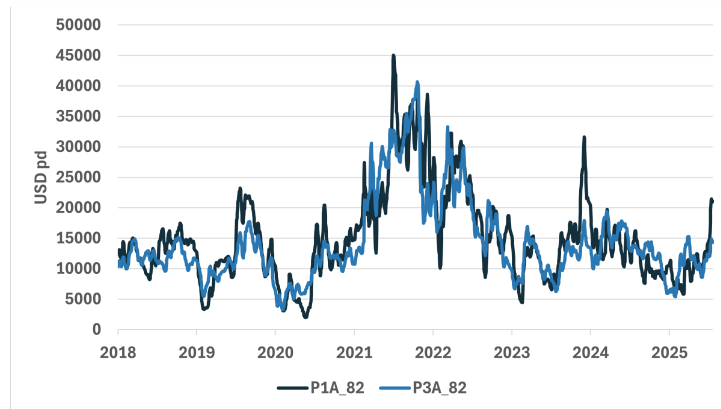
Panamax/Kamsarmax

The market rally has been extreme in several ways. The Atlantic index has overshoot the Pacific index significantly, which usually results in a sharp market correction. Moreover, the Panamax Index is significantly higher than the Handysize Index, an indication that the rally will not be long-lasting. The reason for the latter is that it reflects that the rally is driven by temporary factors rather than a broad-based upturn in global economic growth.

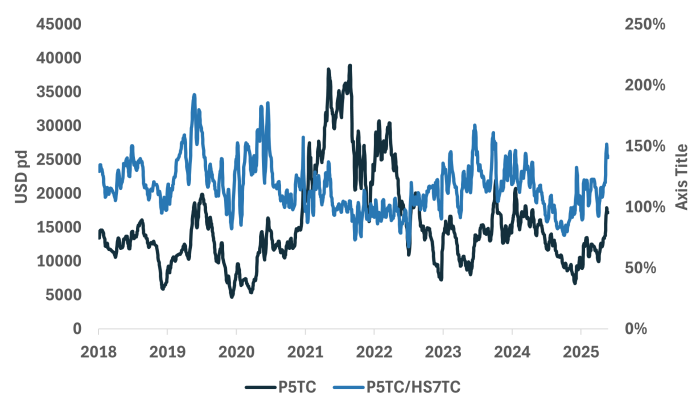
As seen from the charts below, there has been a surge in thermal coal demand, due to global heatwaves. Adding to that, ECSAM grain shipments are performing better than last year. However, Soybean port inventories in China are now the highest in at least 5 years, which means the US season could be at risk.

So, the current index level is likely to be temporary, but it is hard to say at what point an eventual correction happens.

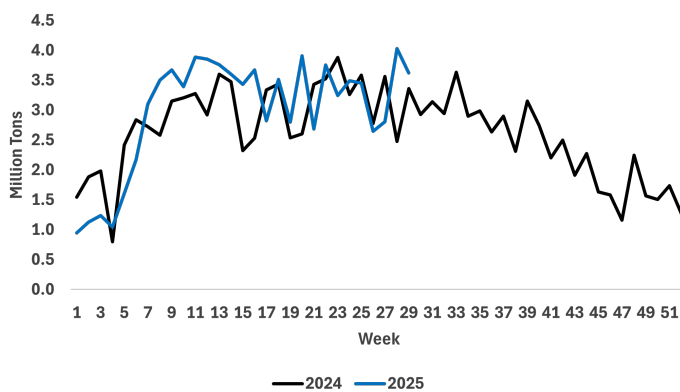
Panamax Atlantic vs Pacific Index



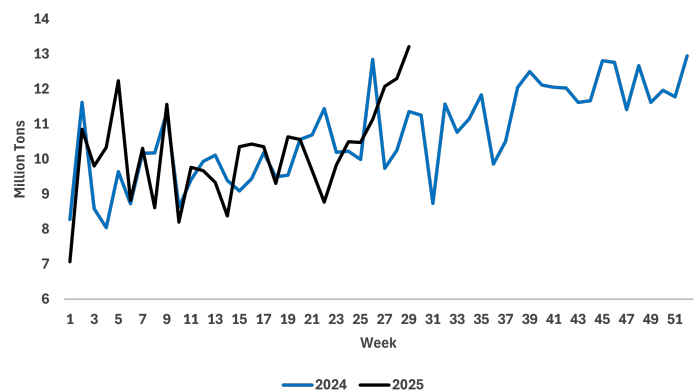
P5TC vs Kamsarmax/Handysize Ratio



Panamax / Kamsarmax Brazil Grains Exports 24 vs 25



Panamax / Kamsarmax Thermal Coal Loadings 24 vs 25





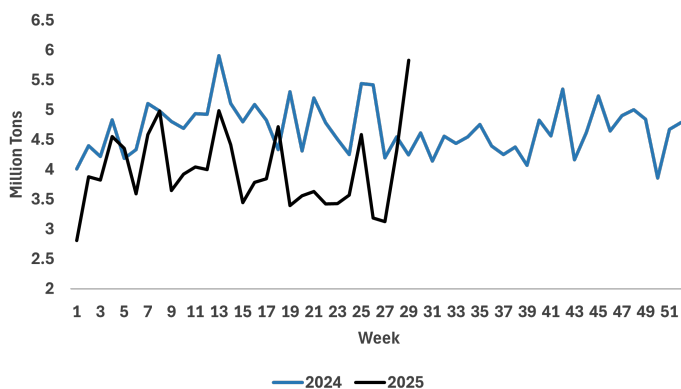
Supramax/Ultramax

Two weeks ago, we wrote:

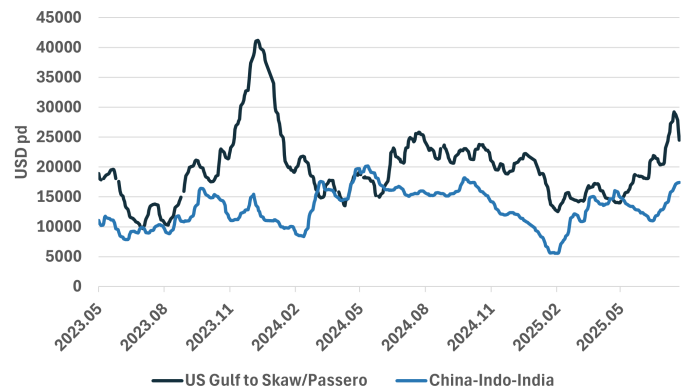
We expected the Supra/Ultra market to continue trading sideways. As in the Pmx/Kmx segment, the surge in coal demand due to heatwaves has been a significant contributor to the last weeks' market rise. The ECSAM grain season also remains very active. Both factors are seasonal or temporary, so we are not yet convinced fundamentals support the Ultramax market to remain sustainably in the mid-teens.

Some routes are now under pressure, which could mean the market has entered a topping phase. As seen from the top left chart, coal shipment volumes surged last week to the second highest seen in the last year and a half. Much of the ongoing market strength will depend on how long the rush for coal lasts.

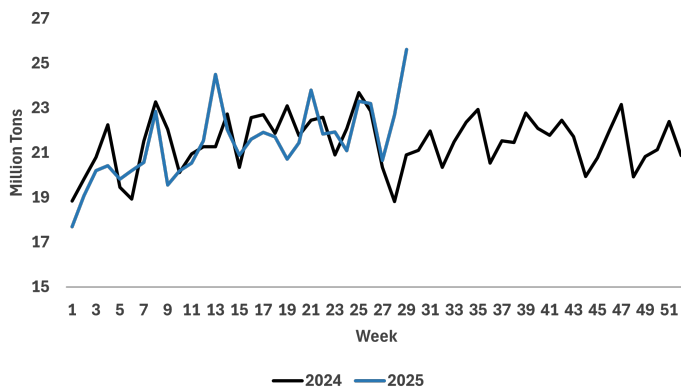
Supramax / Ultramax Coal Loadings 24 vs 25



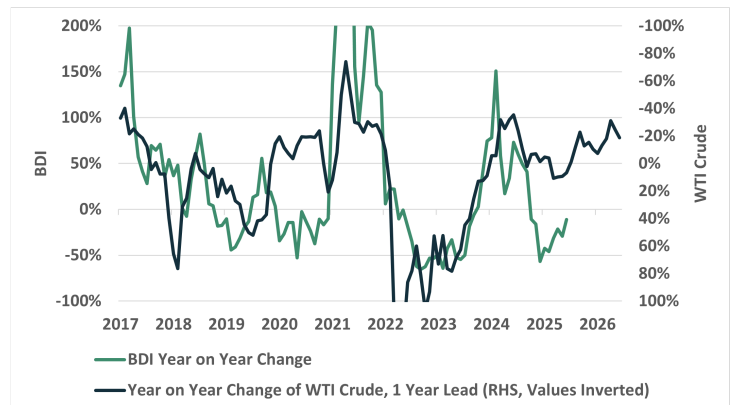
Ultramax Indices - USG to Skaw/Passero and China-Indo-India



Supramax/Ultramax Weekly Shipment Volumes, by Year



WTI Crude Oil Price YoY Change, 1 Year Lead, vs BDI YoY





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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company